

BEFORE THE
FEDERAL MARITIME COMMISSION

FMC DOCKET NO.
24-24

S.P.F. LOGISTICS, INC.
Complainant,
v.

HAPAG-LLOYD AG
Respondent.

COMPLAINANT’S SUPPLEMENTAL OPPOSITION BRIEF

Comes now, Complainant, S.P.F. Logistics, Inc. (“SPF”) and hereby submits its supplemental opposition brief as allowed by the Presiding Officer’s Order to File Supplemental Briefs, served January 14, 2025.

PROCEDURAL HISTORY

Hapag-Lloyd AG (“Hapag”) filed a motion for summary judgment seeking a determination that SPF’s complaint against Hapag alleging violations of the Shipping Act of 1984, as amended (the “Act” or “Shipping Act”) at 46 U.S.C. §41102(c) should be dismissed for lack of subject matter jurisdiction. To be clear, Hapag did not attack the underlying merits of the claimed Act violations. After SPF’s Opposition and Hapag’s Reply thereto, the Presiding Officer ordered the parties to file supplemental briefs as follows (Order pg. 3):

“The parties may file supplemental briefs addressing whether Hapag-Lloyd was acting as a regulated entity with respect to the conduct at issue in the complaint. The question is whether on a port delivery, return of the reefer containers was part of the international transportation regulated by the Commission or part of the merchant haulage which occurred after the regulated

activity ended. Both parties should further expand upon SPF's argument that Hapag-Lloyd's "obligation to timely allow the return of an empty container is part of its obligations as an ocean common carrier and is not dependent on through or 'merchant haulage' moves." Opposition at 3.

The complaint alleges that the detention charges were incurred pursuant to the Uniform Intermodal Interchange and Facilities Access Agreement ("UIIA"). Complaint at 3. The parties should also submit a copy of this agreement or relevant portions of it so the undersigned can understand the contractual basis for the detention charges. Moreover, if the parties contend that discovery is needed to address the jurisdictional issue, they should specifically identify what discovery would be required and estimate the time necessary to complete that discovery."

BACKGROUND FACTS

To avoid repetition, background facts provided in SPF's opposition at pages 2-4 are incorporated herein by reference. SPF also provided its responses to Hapag's proposed findings of fact and SPF's proposed undisputed facts in Exhibit A to its opposition. In response a proposed fact, an opposing party is required to respond to the proposed fact, and any denial of a fact must be followed by an exact citation to evidence that the responding party contends will rebut the evidence the proposing party claims supports the fact (see Initial Order, pg. 4). Significantly, Hapag denied SPF's proposed undisputed facts nos. 6-10 and 12 without providing any contra evidence, thus those facts should be deemed admitted. Specifically, with regard to proposed fact no. 12, which reads "An ocean carrier is responsible for having adequate terminal facilities for the return of empty containers" was denied on the basis that Hapag characterized this fact as a conclusion of law. However, "[t]o the extent that individual findings of fact may be deemed conclusions of law, they shall also be considered conclusions of law. Similarly, to the extent individual conclusions of law may be deemed findings of fact, they shall also be considered findings of fact". *Hapag-Lloyd A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. § 41102(c)*, FMC Dkt. 21-09, initial decision at page 4, 4 F.M.C. 2d 53, 56 (ALJ April 22, 2022).

Hapag's admitted facts and authority cited by SPF in its opposition and below, clearly support Commission jurisdiction in this case.

ARGUMENT

I. A FACTUAL LINK EXISTS BETWEEN HAPAG'S REGULATED STATUS AND THE COMPLAINED VIOLATIONS.

The Presiding Officer in her Order to File Supplemental Briefs cited authority for the proposition "There must also be a link between respondents' regulated status and conduct that allegedly violates the Shipping Act." (Order at pg. 3). SPF has alleged violations of the Act related to the return of empty containers and the detention practices thereon. Hapag in its motion for summary judgment appended its bills of lading related to all shipments at issue admitting it was the common carrier that had transported the containers in the foreign commerce of the United States. Hapag's bill of lading terms and conditions at section 11(4), require the "Merchant" to return the empty containers to Hapag after unloading, https://www.hapag-llloyd.com/content/dam/website/downloads/pdf/Bill_of_Lading_Terms_and_Conditions_LV_01-24_EN.pdf?msocid=112b5ae475f96e13367a4eb274176f28 (last accessed February 6, 2025). The empty containers which SPF attempted to return are the very same containers which were transported by Hapag under the bills of lading which Hapag uses to support its motion. Yet Hapag attempts to convince the Presiding Officer that the return of the empty containers is isolated from the overall international transportation of the cargo shipped notwithstanding the obligation to return empty containers under the terms of Hapag's bill of lading.

Hapag tacitly concedes the Commission has jurisdiction over empty container returns if the return was part of carrier haulage. Hapag's distinction between carrier and merchant haulage is based on the premise, that in carrier haulage, Hapag has an obligation to deliver cargo beyond

the port terminal and for merchant haulage Hapag's obligation to deliver cargo ends at the port. However, what Hapag neglects to acknowledge is that the return of an empty container must necessarily occur *after delivery of the cargo*. For Shipping Act purposes, it makes no difference that an empty container is returned back to Hapag after delivery at the port or a consignee's warehouse. In all circumstances it is still part of the circular nature of the transportation of international cargo. How can cargo be delivered without a corresponding return of the empty container? In short, it can't! Hapag's attempt to limit Commission jurisdiction based upon an arbitrary line in the sand at the port terminal should be disregarded as it ignores the termination of the empty container back to Hapag which is part of the overall transportation regardless of the place of delivery. Thus the factual link is established between Hapag acting as a carrier and the Shipping Act violation alleged. See also 46 C.F.R. §545(c)(ii)(2).

II. THE COMMISSION'S JURISDICTION OVER HAPAG DID NOT END AT THE PORT TERMINAL.

Hapag admits it is a common carrier as defined by the Act, see Hapag Supplemental Brief pg. 2. The Act's definition of common carrier does not define the geographic scope of the Commission's jurisdiction but rather identifies *which entities* will be subject to the Act. Notwithstanding this admission, Hapag attempts to convince the Presiding Officer that the Commission's jurisdiction over its actions should only run concurrently with its general maritime law obligations to deliver cargo at the port in a "port to port" or "CY/CY" shipment. The physical act of delivering cargo, does not limit the Commission's jurisdiction, even if it insulates a common carrier from general maritime law post-delivery cargo damage claims. The Act and Commission precedent have already dispensed with prior attempts to geographically limit the Commission's jurisdiction.

“The Commission and the courts have repeatedly recognized that the Shipping Act’s authority does not end at the port’s boundary” *Intermodal Motor Carriers Conference, American Trucking Ass’n Inc., v. OCEMA, et al*, Docket no. 20-14, Order Affirming Initial Decision, page 23 (FMC Feb. 13, 2024), citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01 2011 WL 7144008 at *5-8 (FMC Aug 1, 2011).

Likewise, prohibitions in the Act contemplate actions outside of the geographical scope of the physical movement of cargo from port to port. SPF alleges violation of the act at §41102(c), which does not have a geographic restriction. And the Commission has already determined the return of empty containers is related to the “receiving, handling, storing, or delivering property” as identified in §41102(c), see 46 C.F.R. § 545.5(b) and (c)(2)(ii). Also, other prohibitions in the Act at §41104 do not necessarily occur during physical transportation of cargo from port to port, but would necessarily occur before and after the physical transportation of cargo, such as¹:

- a. 41104 (a)(3) unreasonably refuse cargo space accommodations when available or *resort to other unfair or unjustly discriminatory methods*;
- b. 41104(a)(4) for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of—
 - (A) rates or charges;
 - (B) cargo classifications;...
 - (E) adjustment and settlement of claims;
- c. 41104(a)(7) offer or pay any deferred rebates;

¹ This is not meant to be an exhaustive list, but rather are exemplars of conduct of a common carrier that may occur before or after delivery of cargo which would also be a violation of the Act.

d. 41104(a)(8) for service pursuant to a tariff, give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage;

e. 41104(a)(10) unreasonably refuse to deal or negotiate, ...

f. 41104(a)(15) fail to invoice any part for demurrage or detention unless such charges and invoices comply with the Act. [which directly applies to detention invoices without limitation].

The Act also allows the filing of charge complaints regarding detention assessed by VOCCs. In doing so, the Act mandates the VOCC has the obligation to establish the reasonableness of any detention charge per 46 C.F.R. §545.5 without reference to any different treatment for carrier haulage vs merchant haulage (see 46 U.S.C. §41310(a) and (b)(1)). The Act, and as confirmed by Commission precedent, acknowledges that conduct of a common carrier, even if before acceptance of cargo or after delivery, and specifically including unreasonable detention charges, will fall within Commission jurisdiction.

III. THE COMMISSION HAS PREVIOUSLY CONFIRMED JURISDICTION OVER HAPAG'S ACTIONS RELATED TO MERCHANT HAULAGE.

As argued in SPF's opposition, *In Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. §41102(c)*, FMC Docket No. 21-09, 4 F.M.C. 2d 53 (ALJ April 22, 2022), the Commission had issued an Order of Investigation and Hearing ("OIH") alleging similar violations of §41102(c) against Hapag. Hapag in its reply, took exception to SPF's use of this ALJ decision, pointing out that before the initial decision was final, Hapag settled the matter without admitting violations of the Act. Hapag ignores the implication of that approved settlement. The Commission approved the settlement in Docket 21-09 in its order dated June 8, 2022. By approving the settlement the Commission must have jurisdiction over the alleged violations notwithstanding Hapag's lack of admission of fault. In the specific case of Hapag, the settlement

agreement confirmed: “WHEREAS, the Commission is authorized under section 41109 of the Shipping Act, 46 U.S.C. § 41109, and Subpart W of the Commission’s Rules of Practice and Procedure, 46 C.F.R. § 502.601, et seq. to settle and collect civil penalties arising from the alleged violations set forth” (which included allegations almost identical to those being made by SPF). True, Hapag did not admit to any violation, but agreed to pay \$2,000,000.00 in civil penalties over conduct concerning merchant haulage of a handful of containers (see Settlement Agreement, Docket No. 21-09, pg. 1, filed May 18, 2022). A joint motion was brought by the Bureau of Enforcement and Hapag before the full Commission for approval of that settlement. The Commission did approve the settlement including the imposition of \$2,000,000.00 in civil penalties. While not stated in the Commission’s approval of the settlement, SPF submits the Commission must have had jurisdiction over the alleged Act violations, which were involving improper detention on merchant haulage moves, in order to approve the settlement. “It is elementary law that a tribunal should determine its jurisdiction before proceeding to the merits of a controversy” *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1178 (ALJ 1999); see also *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (FMC 1999) (“As the ALJ correctly held, an agency must reach the jurisdictional issues before addressing the merits of the case”).

In *TCW, Inc. v. Hapag-Lloyd AG etc.*, Docket No. 1992(I), Hapag argued that Act violations associated with detention imposed on merchant haulage street turns were outside of the Commission’s jurisdiction, see *TCW, Inc. v. Hapag-Lloyd AG etc.*, Docket No. 1992(I), Initial Decision, pg. 9 (December 5, 2023)². The Small Claims Officer found: “Because the street turn

² SPF acknowledges the Initial Decision is not yet final since the Commission has issued its notice of intent to review.

fee at issue was assessed on a container being utilized for the transportation of cargo by ocean between a port in the United States to a foreign destination, it is a charge that was assessed in connection with the transportation of cargo in the foreign commerce of the United States and thus subject to the Shipping Act and the Commission's jurisdiction. Adjudication by the Commission of a claim that "bears directly on a practice or rule relating to the handling of cargo [in the foreign ocean commerce of the United States] is clearly within [the FMC's] statutory authority. *American Export-Isbrandtsen Lines, Inc. v. Federal Maritime Comm'n*, 389 F.2d 962, 968 (D.C. Cir. 1968)" *TCW, Inc. v. Hapag-Lloyd AG etc.*, id. at pp. 13-14. The Small Claims officer also found that in this merchant haulage context, "the *Interpretive Rule on Demurrage and Detention Under the Shipping Act* ("Final Rule"), 85 Fed. Reg. 29638 (May 18, 2020), where the Commission makes clear that the reasonableness of demurrage and detention practices by ocean carriers and marine terminal operators are to be assessed under the section 41102(c) prohibitions (85 Fed. Reg. 29640; see also 46 C.F.R. 545.5), **and that truckers are part of the entities the Final Rule seeks to protect** (85 Fed. Reg. 29638)" *TCW, Inc. v. Hapag-Lloyd AG etc.*, id. at pg. 16 (emphasis added).

In *Intermodal Motor Carriers Conference, American Trucking Ass'n Inc., v. OCEMA, et al*, Docket no. 20-14 (FMC Feb. 13, 2024), Hapag argued the Commission did not have jurisdiction over some of the alleged Act violations associated with merchant haulage, since merchant haulage occurred after Hapag "delivered" the cargo associated, in that case, as related to the chassis being used by the motor carriers. The Commission found Hapag's jurisdictional argument was "untenable" in that the Commission's jurisdiction did not end at the port boundary, *Intermodal Motor Carriers Conference, American Trucking Ass'n Inc., v. OCEMA, et al*, Docket no. 20-14 Order Affirming Initial Decision, page 23 (FMC Feb. 13, 2024).

In sum, at least three times in cases involving Hapag and merchant haulage, Commission jurisdiction over merchant haulage related Act violations has been confirmed.

Findings of jurisdiction in similar circumstances have not been limited to Hapag. For example, *In Wan Hai Lines, LTD and Wan Hai Lines (USA) LTD, Possible Violations of 46 U.S.C. §41102(c)*, Docket No. 21-16 Order of Investigation (FMC December 31, 2021), the Commission, in issuing its order of investigation, noted with regard to similar facts: “[t]he activities of Wan Hai, described above, were provided as part of and in connection with the transportation by water of cargo between the United States and a foreign country for compensation over which the Commission has jurisdiction per 46 U.S.C. § 41302” *Id*, at pg. 4. See also *Wan Hai Lines, LTD and Wan Hai Lines (USA) LTD, Possible Violations of 46 U.S.C. §41102(c)*, Docket No. 21-16, Initial Decision Approving Settlement (including a civil penalty of \$950,000.00) (ALJ March 13, 2023) where the ALJ confirmed a settlement to resolve the investigation, which necessarily includes Commission jurisdiction over the dispute.

IV. A FAIR READING OF THE COMMISSION’S DEMURRAGE AND DETENTION BILLING REQUIREMENTS 89 FED. REG. 14330 (February 26, 2024), SUPPORTS SPF’S POSITION.

Without repeating arguments made in the primary briefs by both parties, the Commission, in the *Demurrage and Detention Billing Requirements*, 89 Fed. Reg. 14330 (February 26, 2024) confirmed the newly promulgated billing regulations in Part 541 apply to “any invoice issued by a common carrier for the collection of demurrage or detention charges, *Id* at 14336, 14356. These references confirm the plain language of 46 C.F.R. §541.4(a) which limits billing to:

“(1) The person for whose account the billing party provided ocean transportation or storage of cargo and who contracted with the billing party for the ocean transportation or storage of cargo; or

(2) The consignee”. The only conclusion that can be reached in light of the plain language of §541.4(a) and the Commission’s comments about the regulation’s universal applicability, would be that if a common carrier invoices a motor carrier for detention, regardless if it were related to merchant haulage or carrier haulage, the common carrier will have committed a violation of the Act and thus the motor carrier should have a remedy under the Act for such violations. The ANPR for Part 541 confirmed the broad application of the billing regulation: “Practically, the proposed rule would prohibit billing parties (such as VOCCs) from invoicing motor carriers...” 87 FR 62349 (Oct. 14, 2022).

V. THE UIIA DOES NOT PREVENT SPF’S CLAIMS.

In addition to supplemental authority, the Presiding Officer also requested a copy of the UIIA “so the [Presiding Officer] can understand the contractual basis for the detention charges”. Hapag has provided a copy of the current UIIA and its addendum as Exhibit A to its supplemental brief. Hapag argues the UIIA “is not a contract for the transportation of cargo, but is an agreement setting forth the terms under which the motor carrier is permitted to take possession...of the ocean carrier’s container” See Hapag Supplemental Brief, pg. 4. Hapag’s characterization misses the point. The UIIA does cover the transportation of Hapag containers, full AND empty. Thus, it does impact the movement of cargo and the corresponding empty containers.

The UIIA is not exclusive to SPF and Hapag, but rather it is an industry wide contract of adhesion were motor carriers are forced to agree thereto if they want the ability to transport empty or full containers supplied by subscribing common carriers and other equipment providers.³

³ 95% of North American equipment interchanges are managed under the UIIA. See <https://intermodal.org/uiia> (last accessed February 6, 2025)

Any actions taken by Hapag under the claimed authority of the UIIA do not insulate Hapag from violations of the Act. “The Commission has an obligation to address Shipping Act claims, even if the relevant facts may also give rise to other claims between the parties. *MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, Docket No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024). The Commission has jurisdiction over Shipping Act claims even if a related proceeding is underway. *Id.* Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier’s broader practices beyond those directly affecting the complainant. *Id.* While breach of contract claims are resolved in court or as otherwise agreed by the parties, a claim for violation of the Shipping Act may only be resolved by the Commission.”, *SeaFair USA LLC v. Sterling Container Line Ltd. and Atlantic Forwarding, LTD*, Docket No. 22-34, Initial Decision, pg. 8 (ALJ April 15, 2024). See also *MSRF, Inc. v. HMM Co. Ltd.*, FMC Docket 22-20, 7 F.M.C. 2d 85, 101 (ALJ Nov. 22, 2023) “...the Commission found that it is appropriate to assert jurisdiction over Shipping Act violations, regardless of whether they may overlap with breach of contract claims...”. Thus, even if Hapag or SPF had breach of contract claims under the UIIA, the Commission would still retain jurisdiction over any related violations of the Act.

The UIIA covers a myriad of common issues which are applicable to all signatories, such as equipment availability, loss or damage to equipment, dunnage/cleaning, and insurance. In addition to the common terms, each equipment provider also has its own addendum which Hapag has also provided. The UIIA and Hapag addendum make no mention of the Shipping Act. Also, the common UIIA document has no mention of any difference between merchant haulage and carrier haulage. The Hapag addendum only has one instance where they differentiate between

merchant haulage and carrier haulage. Hapag apparently as different rates for merchant vs carrier haulage when applied to street turns (see UIIA, Hapag addendum, section 9).

The Hapag addendum and UIIA's provisions regarding free time and detention do not control SPF's Shipping Act claim. As the Commission has explicitly stated, [s]uffice it to say, ocean carriers...do not have an inviolate right to contract with their customers free from government scrutiny. ... Ocean carrier practices, whether incorporated in the UIIA or not, are within the Commission's purview under section 41102(c)", 85 FR 29638, 29649. Indeed, it remains to be seen how the UIIA's billing and dispute provisions (see UIIA, sections E.6 and H) will be reconciled with the Part 541 required billing practices.

Additionally, the UIIA may not in and of itself control the free time and detention charges under scrutiny. As alleged at paragraph 14 of SPF's verified complaint " Hapag may have further agreements directly with shippers, consignees, beneficial cargo owners or other parties which extend the amount of free time allowed or that may change the amount of detention charged on a daily basis. SPF may benefit from such agreements."

VI. ADDITIONAL DISCOVERY COULD POSSIBLY ASSIST IN DETERMINING THE JURISDICTIONAL QUESTION

The Presiding Officer also ordered the parties to specify any jurisdictional discovery which could be required and estimate the time necessary to complete the discovery. SPF maintains its authority cited and arguments should be sufficient for a ruling in its favor. However, for the avoidance of doubt, the following discovery could also crystallize the Commission's jurisdiction over improper detention practices in relation to merchant haulage of empty containers.

A. As alleged in SPF's complaint, there may be other contracts or tariff provisions which may apply to the free time, detention amounts and applicability to these merchant haulage moves.

B. Hapag's policies and procedures for billing detention for merchant haulage and addressing any disputes thereon.

C. How Hapag treated similarly situated motor carriers that disputed merchant haulage related detention.

D. How Hapag has or will change its billing practices in light of the implementation of 46 C.F.R. Part 541.

E. Disclosure of any charge complaints which concern empty container returns by merchant haulage.

F. Obligations of Hapag customers (shippers, consignees, beneficial cargo owners) to return empty containers regardless of the characterization of merchant or carrier haulage pursuant to Hapag's bill of lading terms, its tariff and any applicable service contract.

The required time necessary to complete the above discovery could be impacted by the volume of responsive documents or information and the possible necessity of a protective order should Hapag claim confidentiality related to any such information or documents. SPF anticipates this limited discovery could be concluded within 90 days.

CONCLUSION

The Commission necessarily has jurisdiction to adjudicate violations of the Act and not common law or other statutory claims. However, the Commission should not attempt to limit the scope of its jurisdiction under the Act. Indeed, the Commission has been cautioned against circumscribing its jurisdiction too narrowly when the Act confers authority in plain language or uses expansive terms. See *Volkswagenwerk Aktiengesellschaft v. Fed. Mar. Comm'n*, 390 U.S. 261, 273-75 (1968). Broadly drafted Shipping Act provisions, such as 46 U.S.C. §41102(c) “

‘should not be narrowly construed’ to limit the Commission’s jurisdiction.” *Int’l Ass’n of NVOCCs v. Atlantic Container Line*, Docket No. 81-5, 1990 WL 427461, at *14 (FMC Feb. 5, 1990).

Hapag does not dispute the underlying facts that give rise to the alleged violations of the Act. SPF in its opposition to the motion for summary judgment and the above supplemental brief has demonstrated the Commission routinely asserts jurisdiction over similar merchant haulage claims and Act violations outside of the geographical limits of the port, thus *a fortiori*, the complained acts by the common carrier, including those by Hapag here, were and are necessarily considered part of the international transportation of cargo subject to the Commission’s jurisdiction. The Act, and Commission precedent (including cases involving Hapag), are quite clear that the Commission has jurisdiction over any violation of the Act related to the return of empty containers under merchant haulage. If the Commission does not assert jurisdiction over these violations, SPF and other members of the public will be without a remedy for Shipping Act violations, *Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000).

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Respectfully submitted,



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CERTIFICATE OF SERVICE

I hereby certify that on February 12 2025, the foregoing COMPLAINANT'S SUPPLEMENTAL OPPOSITION BRIEF has been served upon all interested persons and parties by electronic means pursuant to the below list.

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